

EG Energy, Climate & Resources, China QUICKTAKE: Beijing's rare-earth warning shot expands use of export control leverage

送信者: EG Energy, Climate & Resources 受信日時: 2026-07-25 04:19

[【メール原文】](#)

Energy, Climate & Resources, China QuickTake

24 Jul 2026 15:17 EDT

Beijing's rare-earth warning shot expands use of export control leverage

Short-term trajectory:

Long-term trajectory:

What happened:

On 24 July, China's Ministry of Commerce (MOFCOM) announced export controls on dual-use items, including rare-earth elements, to 14 EU entities.

Our take:

Amid trade tensions, Beijing is letting Europe know it will engage in like-for-like retaliation. China announced the move in response to the EU's 21st Russia sanctions package, which extended export controls to 51 more entities, including 14 Chinese companies, for allegedly supporting Russia's war against Ukraine. Beijing likely designed the export controls to deter a wider range of EU economic security measures given intensifying bilateral trade tensions (see: Trade confrontation will escalate despite managed pause , 2 July 2026). The 14-for-14 and export control-for-export control symmetry reflects Beijing's desire to frame its response as proportional.

Targeting of companies that process critical minerals indicates willingness to escalate. The EU entities targeted by MOFCOM's export controls reveal a step-change in Beijing's approach, broadening retaliation beyond the defense sector despite the nominal trigger being European sanctions tied to security issues. In response to the EU's 20th sanctions package in April 2026, Beijing targeted only defense companies. The targeted companies this time include Rheinmetall, Tatra Trucks, and Optoelectron of Bulgaria, along with smaller companies across various advanced manufacturing sectors that produce electric motors, chemicals, optical devices, semiconductors, and advanced materials. Many rely directly or indirectly on Chinese rare earths, permanent magnets, or other controlled inputs.

Prospects for substitution vary. Lafert's rare-earth magnet motors and Sindlhauser's yttrium-based materials will likely face much tighter constraints than companies that use more commoditized inputs. Beijing can preserve its leverage through its licensing channel, approving enough applications to discourage costly substitution, while delaying or rejecting others to preserve uncertainty, collect supply-chain information, and encourage affected companies to lobby national governments. Brussels's least escalatory response—seeking clarification and helping companies pursue exemptions—would play into Beijing's hands.

EU unlikely to reverse new listings but will likely adopt more cautious approach. China listed seven EU entities in April without preventing the EU's broader China designations in the latest sanctions package. Beijing's latest measure is qualitatively stronger, with the implicit threat of more stringent actions. Brussels will likely be more cautious about targeting Chinese firms in future sanctions packages, not least given the limited effectiveness in preventing circumvention and deterring Chinese firms from supplying Russia's war effort.

Immediate economic impact will probably remain concentrated rather than systemic. Heavy rare-earth supply outside China remains exceptionally tight. The threat of Chinese coercion will accelerate Brussels's implementation of the Critical Raw Materials Act and RESourceEU, but meaningful diversification in processing and magnet production will take several years. That said, the latest listings are unlikely to deter a gradual tightening of EU trade and industrial policies, though these will likely rely predominantly on market access and procurement restrictions over export controls (see: EU gearing up for a tougher China stance , 14 July 2026).

EG Energy, Climate & Resources

ecr@eurasiagroup.net

EG Europe

europe@eurasiagroup.net

EG China

china@eurasiagroup.net

Conor Frydenborg

Associate, Energy & Resources

+1 202.540.5149

frydenborg@eurasiagroup.net

Federico Santi

Senior Analyst, Europe

+44 (0) 207.553.9834

santi@eurasiagroup.net

David Meale

Practice Head, China

2025405135

Meale@eurasiagroup.net

Yara Alamin

Intern, Energy & Resources

alamin.ne@eurasiagroup.net

Jeremy Chan

Senior Analyst, China & Northeast Asia

chan@eurasiagroup.net

Amanda Hsiao

Director, China

Hsiao@eurasiagroup.net

Alexander Kolyandr

Director, Europe

kolyandr@eurasiagroup.net

PDF or Print | Get the EG iOS or Android mobile Apps for content on the go

Explanation of Political Trajectories (ie, "Trajectories")

Eurasia Group's (EG) Political Trajectories are indicators of the net impact of political factors on the macro business environment in a country over specific timeframes. For each country, two Trajectories are provided, a short-term (6 months) and a long term assessment (24 months). Trajectories are assigned by Eurasia Group's country analysts through a structured qualitative process. Each Trajectory represents a net assessment, indicating how political changes in a country impact the macro business environment, defined as the economic and investment climate in the country. Once initiated,

Trajectories are updated both periodically and as events warrant. Trajectories may be suspended from time to time if there is no active analyst opinion or analyst coverage, but the opinion or coverage is expected to resume. Trajectories can be:

Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

Disclaimers: Trajectories are solely for informational purposes and should not be relied upon as investment advice. Trajectories do not indicate asset price movements, and have no value in forecasting market prices. Trajectories are based on data and analysis we deem to be reliable; they are not guaranteed as to accuracy or completeness. The Trajectories indicate the political outlook in a single country, over time. Trajectories do not address sector-specific or city/regional political risks that are often different than the country-level outlook. Trajectories represent an analyst's net qualitative assessment of a country's political outlook. EG sales, analytic staff and products may provide analysis reflecting different opinions than those expressed by the Trajectories.

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.

X-WF-DocID wfpub_eurasia_26962_35217712

To manage your email preferences click [here](#) | To manage your research content alerts click [here](#)